(i) Foreign Investors buying an interest in local company

(ii) Local firm acquiring an interest in the existing foreign firm

(iii) Both the foreign and local firms jointly forming a new enterprise.

25.04 Features of International Business

The following are the features of international business

(a) Involvement of Countries.

International business can take place only when transactions occur across different countries

(b) Use of Foreign Exchange.

Where countries trade with one another, it has to exchange the goods and services on the basis of foreign currency.

(c) Legal Obligations.

Foreign trade is to be conducted strictly in accordance with the export and import policy of the country concerned. The consent of the government is to be mandatorily obtained with reference to export and import of certain goods and services. Thus government intervention is direct in respect of international transactions.

(d) Heavy Documentation Work.

International business necessitates fulfillment of a lot of formalities. Parties to international business have to execute a number of documents in the matters of conducting International business.

(e) Difference in Economic Environment.

The economic environment of countries involved in international business differs significantly in terms of legal framework, institutional set-up, monetary fiscal and commercial policy, resources availability, production techniques, etc.,

25.05 Rationale Behind International Business

i. Unequal Distribution of Natural Resources.

Countries across the world are not endowed with the natural resources of various types equally and equitably. In other words, the natural resources are unevenly spread across the various nations. As a result the countries having surplus resources have to exchange it for those resources which are not available in their home country. This uneven distribution of resources worldwide makes it necessary the exchange of goods among the countries through international business.

ii. Uneven Availability of Factors of Production.

The availability of various factors of production namely, land, labour, capital and technology for producing goods and services differ among different countries. International business moves the surplus factor in one country over to another country where it is in short supply. Therefore international business is necessary.

iii. Specialisation.

Certain countries or some geographical areas of a certain country specialize in the

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